ENGROSSED HOUSE
BILL NO. 3781

By: Adams and Gise of the House

and

Reinhardt of the Senate

[insurance - Property and Casualty Competitive Loss Cost Rating Act - purpose - ratemaking standards - discrimination - rate administration - rate filings - disapproval - notice and opportunity for hearing - advisory organizations - filing requirements - Commissioner - joint underwriting - joint reinsurance pool - residual market activities - written order - repealer - effective date]

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 36 O.S. 2021, Section 981, is amended to read as follows:

Section 981. Short Title and Purposes of Act.

A. Sections 981 through 998 of this title and Sections 22, 23 and 24 of this act shall constitute a part of the Oklahoma Insurance Code and shall be known and may be cited as the "Property and Casualty Competitive Loss Cost Rating Act".

B. The purposes of the Property and Casualty Competitive Loss Cost Rating Act are:

1. To promote price competition among insurers so as to provide rates that are responsive to competitive market conditions;

2. To protect policyholders and the public against the adverse effects of excessive, inadequate or unfairly discriminatory rates;

3. To prohibit unlawful price-fixing agreements and other anticompetitive behavior by insurers;

4. To provide regulatory procedures for the maintenance of appropriate data reporting systems;

5. To provide regulatory controls ~~in the absence of a competitive marketplace~~; and

6. To authorize essential cooperative action among insurers in the ratemaking process and to regulate such activity to prevent practices that substantially lessen competition or create a monopoly.

SECTION 2. AMENDATORY 36 O.S. 2021, Section 982, is amended to read as follows:

Section 982. Definitions.

As used in the Property and Casualty Competitive Loss Cost Rating Act:

1. "Accepted actuarial standards" means the standards adopted by the Casualty Actuarial Society Statement of Principles regarding

property and casualty ratemaking or the Standards of Practice adopted by the Actuarial Standards Board;

2. "Advisory organization" means any corporation, unincorporated association, partnership or person, whether located inside or outside this state, that is licensed in accordance with Section 1140 of this title and which assists insurers in ratemaking-related activities such as enumerated in Section 1142 of this title;

3. "Classification system" or "classification" means the process of grouping risks with similar risk characteristics so that differences in costs may be recognized;

4. "Commercial risk" means any kind of risk that is not a personal risk;

5. "Commissioner" means the Commissioner of Insurance of this state;

6. ~~"Competitive market" means a market which has not been found to be noncompetitive pursuant to Section 984 of this title;~~

~~7.~~ "Developed losses" means losses, including loss adjustment expenses, adjusted using accepted actuarial standards, to eliminate the effect of differences between current payment or reserve estimates and those which are anticipated to provide actual ultimate loss, including loss adjustment expense payments;

~~8.~~ <u>7.</u> "Expenses" means that portion of a rate attributable to acquisition, field supervision, collection expenses, general expenses, taxes, licenses and fees;

~~9.~~ 8. "Experience rating" means a rating procedure utilizing past insurance experience of the individual policyholder to forecast future losses by measuring the policyholder's loss experience against the loss experience of policyholders in the same classification to produce a prospective premium credit, debit or unity modification;

~~10.~~ 9. "Joint underwriting" means a voluntary arrangement established to provide insurance coverage for a risk pursuant to which two or more insurers jointly contract with the insured at a price and under policy terms agreed upon between the insurers;

~~11.~~ 10. "Loss adjustment expense" means the expenses incurred by the insurer in the course of settling claims;

~~12.~~ 11. "Market" means the statewide interaction between buyers and sellers of identical or readily substitutable products that provide insurance protection of identifiable perils to buyers;

~~13.~~ 12. "Mass marketed plan" means a method of selling property-liability insurance wherein the insurance is offered to employees of particular employers or to members of particular associations or organizations or to persons grouped in other ways, and the employer or association or other organization has agreed to, or otherwise affiliated itself with, the sale of such insurance to its employees or members;

~~14. "Noncompetitive market" means a market for which there is a ruling in effect pursuant to Section 984 of this title that a reasonable degree of competition does not exist;~~

~~15.~~ 13. "Personal risk" means homeowners, tenants, private passenger nonfleet automobiles, manufactured homes and other property and casualty insurance for personal, family or household needs, including any property and casualty insurance that is otherwise intended for noncommercial coverage;

~~16.~~ 14. "Pool" means a voluntary arrangement, established on an ongoing basis, pursuant to which two or more insurers participate in the sharing of risks on a predetermined basis. The pool may operate through an association, syndicate or other pooling agreement;

~~17.~~ 15. "Prospective loss costs" means historical aggregate losses and may include loss adjustment expenses, including all assessments that are loss based, projected through development to their ultimate value and through trending to a future point in time;

~~18.~~ 16. "Pure premium rate" means that portion of the rate which represents the loss costs per unit of exposure including loss adjustment expense;

~~19.~~ 17. "Rate" or "rates" means that cost of insurance per exposure unit whether expressed as a single number or as a prospective loss cost with an adjustment to account for the treatment of expenses, profit, and individual insurer variation in loss experience, prior to any application of individual risk variations based on loss or expense considerations, and does not include minimum premium;

~~20.~~ 18. "Residual market mechanism" means an arrangement, either voluntary or mandated by law, involving participation by insurers in the equitable apportionment among them of insurance which may be afforded applicants who are unable to obtain insurance through ordinary methods;

~~21.~~ 19. "Special assessments" means guaranty fund assessments, Special Indemnity Fund assessments, Vocational Rehabilitation Fund assessments, and other similar assessments. Special assessments shall not be considered as either expenses or losses;

~~22.~~ 20. "Statistical plan" means the plan, system or arrangement used in collecting data;

~~23.~~ 21. "Supplementary rating information" means any manual or plan of rates, classification, rating schedule, minimum premium, policy fee rating rule and any other information needed to determine the applicable premium in effect or to be in effect. This includes, rating plans, territory codes and descriptions and rules which include factors or relativities such as increased limits factors, deductible discounts or relativities, classification relativities or similar factors used to determine the rate in effect or to be in effect;

~~24.~~ 22. "Supporting information" means the experience and judgment of the filer and the experience or data of other insurers or advisory organizations relied upon by the filer, the interpretation of any other data relied upon by the filer, descriptions of methods used in making the rates and any other information required by the Commissioner to be filed; and

~~25.~~ 23. "Trending" means any procedure for projecting losses to the average date of loss, or premiums or exposures to the average date of writing, for the period during which the policies are to be effective.

SECTION 3. AMENDATORY 36 O.S. 2021, Section 985, is amended to read as follows:

Section 985. Ratemaking Standards.

A. A rate may not be excessive, inadequate or unfairly discriminatory.

1. ~~No rate in a competitive market may be determined to be excessive. A rate in a noncompetitive market may be determined to be excessive if it is likely to produce a profit that is unreasonably high for the insurance provided~~ A rate may be determined to be excessive if it is unreasonably high for the insurance provided or is unreasonably high in relation to the services rendered.

2. A rate may not be determined to be inadequate unless:

a. the rate is clearly insufficient to sustain projected losses, expenses and special assessments, and

b. the rate is unreasonably low and use of the rate by the insurer has tended or, if continued, will tend to create a monopoly in the market.

3. Unfair discrimination may be determined to exist if, after allowing for practical limitations, price differentials fail to reflect equitably the differences in expected losses and expenses. A rate may not be determined to be unfairly discriminatory because different premiums result for policyholders with like loss exposures but different expense levels, or like expenses but different loss exposures, or if it averaged broadly among persons insured within a group, franchise or blanket policy or a mass-marketed plan. No rate ~~in a competitive market~~ shall be considered unfairly discriminatory unless it classifies risk on the basis of race, color, creed, ~~or~~ national origin<u>, or religion</u>.

B. In determining whether rates ~~in a noncompetitive market~~ are excessive, inadequate, or unfairly discriminatory, due consideration may be given to:

1. Past and prospective loss experience within and outside this state, in accordance with accepted actuarial principles;

2. Conflagration and catastrophe hazards;

3. A reasonable margin for underwriting profit and contingencies;

4. Loadings for leveling premium rates over time for dividends, savings or unabsorbed premium deposits allowed or returned by insurers to their policyholders, members or subscribers;

5. Past and prospective expenses both countrywide and those specially applicable to this state; and

6. Provisions for special assessments; and to all other relevant factors including judgment within and outside this state.

C. Risks may be grouped by classifications for the establishment of rates and minimum premiums. Classification rates may be modified to produce rates for individual risks in accordance with rating plans which establish standards for measuring variations in hazards or expense provisions, or both. Such standards may measure any differences among risks that can be demonstrated to have a probable effect upon losses or expenses. No risk classification however, may be based on race, creed, national origin, or the religion of the insured.

D. The expense provisions included in the rates for use by an insurer or group of insurers may differ from those of any other insurer or group of insurers to reflect the requirements of the operating methods of the insurer or group of insurers.

E. The rates may contain provision for contingencies and an allowance permitting a reasonable profit. In determining the reasonableness of the profit, consideration shall be given to the investment income attributable to the line of insurance.

F. Risks may be classified in any way except that no risk may be classified on the basis of race, color, creed, ~~or~~ national origin, or religion.

SECTION 4. AMENDATORY 36 O.S. 2021, Section 986, is amended to read as follows:

Section 986. Rate Administration.

A. ~~In only those markets found to be noncompetitive pursuant to Section 984 of this title, insurers~~ Insurers and advisory organizations shall file with the Commissioner and the Commissioner shall review reasonable rules and plans for recording and reporting their rates, loss and expense experience and other information determined by the Commissioner to be necessary or appropriate for the administration of the Property and Casualty Competitive Loss Cost Rating Act. The Commissioner may designate one or more advisory organizations or other agencies to assist in gathering such experience and making compilation thereof.

B. Reasonable rules and plans may be promulgated by the Commissioner for the exchange of data necessary for the development and application of rating plans.

C. In order to further uniform administration of rate regulatory laws, the Commissioner and every insurer and advisory organization may exchange information and experience data with insurance supervisory officials, insurers and advisory organizations in other states and may consult with them with respect to the application of rating systems.

D. Cooperation among advisory organizations or among advisory organizations and insurers in ratemaking or in other matters within the scope of the Property and Casualty Competitive Loss Cost Rating Act is authorized. The Commissioner may review such cooperative activities and practices, and if, after a hearing, any such activity or practice is found to violate the provisions of the Property and Casualty Competitive Loss Cost Rating Act, a written order may be issued specifying that such activity or practice violates the provisions of this act and requiring the discontinuance of such activity.

SECTION 5. AMENDATORY 36 O.S. 2021, Section 987, is amended to read as follows:

Section 987. Rate Filings.

A. ~~In a competitive market, every~~ Every insurer shall file with the Insurance Commissioner all rates and ~~supplementary rate information~~ any additional information requested by the Insurance Commissioner, to be used in this state ~~no later than thirty (30) days after~~ at least sixty (60) days prior to the effective date; provided, that the rates and supplementary rate information need not be filed for commercial risks, which by general custom are not written according to manual rules or rating plans.

~~B. In a noncompetitive market, every insurer shall file with the Commissioner all rates, supplementary rate information and supporting information at least thirty (30) days before the proposed effective date.~~ The Commissioner may give written notice, within ~~thirty (30)~~ sixty (60) days of receipt of the filing, that the Commissioner needs additional time, not to exceed ~~thirty (30)~~ sixty (60) days from the date of the notice to consider the filing. Upon written application of the insurer, the Commissioner may authorize rates to be effective before the expiration of the waiting period or an extension thereof. A filing shall be deemed to meet the requirements of the Property and Casualty Competitive Loss Cost Rating Act and to become effective unless disapproved pursuant to this title by the Commissioner before the expiration of the waiting period or an extension thereof.

~~In a noncompetitive market, the filing shall be deemed in compliance with the filing provision of this section unless the Commissioner informs the insurer within ten (10) days after receipt of the filings as to what supplementary rate information or supporting information is required to complete the filing.~~

~~C.~~ B. Every authorized insurer shall file with the Commissioner, except as to rates for those lines of insurance exempted from the provisions of the Property and Casualty Competitive Loss Cost Rating Act by the Commissioner under subsections ~~E~~ C and ~~F~~ D of this section and except for those risks designated as special risks under Section 997 of this title, all rates, supplementary rate information, any additional information requested by the Insurance Commissioner, and any changes and amendments which it proposes to use. An insurer may file its rates by either filing its final rates or by filing a multiplier and, if applicable, an expense constant adjustment to be applied to prospective loss costs that have been filed by an advisory organization as permitted by this title. Such loss cost multiplier filing and expense constant filings made by insurers shall remain in effect until amended or withdrawn by the insurer. Every filing shall state the effective date.

~~D.~~ C. Under rules as may be adopted, the Commissioner may, by written order, suspend or modify the requirement of filing as to any kind of insurance, subdivision or combination thereof, or as to classes of risks.

~~E.~~ D. Notwithstanding any other provision of the Property and Casualty Competitive Loss Cost Rating Act, upon the written consent of the insured in a separate written document, a rate in excess of that determined in accordance with the other provisions of the Property and Casualty Competitive Loss Cost Rating Act may be used on a specific risk.

~~F.~~ E. A filing and any supporting information required to be filed shall be open to public inspection ~~once the filing becomes effective~~ except information marked confidential, trade secret, or proprietary by the insurer or filer ~~and except the filings of an advisory organization which shall be open to public inspection upon the received date of the rate, loss cost, or manual rule change~~. The insurer or filer shall have the burden of asserting to the Commissioner that a filing and supporting information are confidential, upon the request of the Commissioner. The Commissioner may disapprove of the insurer's request for confidential filing status.

SECTION 6. AMENDATORY 36 O.S. 2021, Section 989, is amended to read as follows:

Section 989. Improper Rates; Disapproval; Hearing.

A. ~~Basis for disapproval.~~

~~1.~~ The Commissioner shall disapprove a rate ~~in a competitive market only~~ if the Commissioner finds, pursuant to subsection B of this section, that the rate is excessive, inadequate, or unfairly discriminatory pursuant to Section 985 of this title.

~~2. The Commissioner may disapprove a rate for use in a noncompetitive market only if the Commissioner finds, pursuant to subsection B of this section, that the rate is excessive, inadequate or unfairly discriminatory under this subsection.~~

B. ~~Procedures for disapproval.~~

1. Prior to the expiration of a waiting period or an extension thereof, made pursuant to subsection B of Section 987 of this title, the Commissioner may disapprove, by written order, rates filed

pursuant to subsection B of Section 987 of this title with notice and opportunity for a hearing. The order shall specify in what respects the filing fails to meet the requirements of this act. Any insurer whose rates are disapproved pursuant to this section shall be given a hearing upon written request made within thirty (30) days of disapproval.

2. If, at any time after a rate is effective, the Commissioner finds that a rate applicable to insurance ~~sold in a noncompetitive market~~ does not comply with the standards set forth in Section 985 of this title, the Commissioner may, after a hearing held upon not less than twenty (20) days' written notice, issue an order ~~pursuant to subsection C of this section,~~ disapproving such rate. The hearing notice shall be sent to every insurer and advisory organization that adopted the rate and shall specify the matters to be considered at the hearing. The disapproval order shall not affect any contract or policy made or issued prior to the effective date set forth in the order.

~~3. If, at any time, the Commissioner finds that a rate applicable to insurance sold in a competitive market is inadequate or unfairly discriminatory under paragraph 2 or 3 of subsection A of Section 985 of this title, the Commissioner may issue an order pursuant to subsection C of this section disapproving the rate. The order shall not affect any contract or policy made or issued prior to the effective date set forth in the order.~~

C. ~~Order of disapproval.~~

~~If the Commissioner disapproves a rate pursuant to subsection B of this section, the Commissioner shall issue an order within thirty (30) days of the close of the hearing specifying in what respects the rate fails to meet the requirements of this act. The order shall state an effective date no sooner than thirty (30) business days after the date of the order when the use of the rate shall be discontinued. This order shall not affect any policy made before the effective date of the order.~~

~~D. Appeal of orders and establishment of reserves.~~

If an order of disapproval is appealed pursuant to Section 990 of this title, the insurer may implement the disapproved rate upon notification to the court, in which case any excess of the disapproved rate over a rate previously in effect shall be placed in a reserve established by the insurer. The court shall have control over the disbursement of funds from such reserve. The funds shall be distributed as determined by the court in its final order except that de minimus refunds to policyholders shall not be required.

~~E.~~ D. All determinations made by the Commissioner under this section shall be on the basis of findings of fact and conclusions of law.

SECTION 7. AMENDATORY 36 O.S. 2021, Section 994, is amended to read as follows:

Section 994. Advisory Organizations; Filing Requirements.

Every advisory organization shall file with the Insurance Commissioner for approval every statistical plan, all prospective loss costs, provisions for special assessments ~~and~~, all supplementary rating information, and any additional information requested by the Insurance Commissioner, and every change or amendment or modification of any of the foregoing proposed for use in this state at least ~~thirty (30)~~ sixty (60) days prior to its effective date. The Commissioner may give written notice, within sixty (60) days of receipt of the filing, that the Commissioner needs additional time, not to exceed sixty (60) days from the date of the notice to consider the filing. Such filings will be deemed approved unless disapproved within the waiting period.

SECTION 8. AMENDATORY 36 O.S. 2021, Section 995, as amended by Section 1, Chapter 304, O.S.L. 2022 (36 O.S. Supp. 2025, Section 995), is amended to read as follows:

Section 995. Joint Underwriting, Joint Reinsurance Pool and Residual Market Activities.

A. Notwithstanding paragraph 3 of subsection A of Section 992 of this title, insurers participating in joint underwriting, joint reinsurance pools or residual market mechanisms may in connection with such activity act in cooperation with each other in the making of rates, rating systems, policy forms, underwriting rules, surveys, inspections and investigations, the furnishing of loss and expense statistics or other information, or carrying on research. Joint underwriting, joint reinsurance pools and residual market mechanisms shall not be deemed an advisory organization.

B. Except to the extent modified by this section, joint underwriting, joint reinsurance pool and residual market mechanism activities are subject to the other provisions of the Property and Casualty Competitive Loss Cost Rating Act.

C. If, after a hearing, the Insurance Commissioner finds that any activity or practice of an insurer participating in joint underwriting or a pool is unfair, is unreasonable, will tend to lessen competition in any market or is otherwise inconsistent with the provisions or purposes of the Property and Casualty Competitive Loss Cost Rating Act, the Commissioner ~~may~~ shall issue a written order and require the discontinuance of such activity or practice.

D. Every pool shall file with the Commissioner a copy of its constitution, articles of incorporation, agreement or association, bylaws, rules and regulations governing its activities, list of members, the name and address of a resident of this state upon whom notice, orders of the Commissioner, or process may be served, and any changes in amendments or changes in the foregoing.

E. Any residual market mechanism, plan or agreement to implement such a mechanism, and any changes or amendments thereto, shall be submitted in writing to the Commissioner for consideration and approval, together with such information as may be reasonably required.

SECTION 9. REPEALER 36 O.S. 2021, Section 984, is hereby repealed.

SECTION 10. REPEALER 36 O.S. 2021, Section 985.1, is hereby repealed.

SECTION 11. This act shall become effective November 1, 2026.

Passed the House of Representatives the 26th day of March, 2026.

Presiding Officer of the House of Representatives

Passed the Senate the ___ day of __________, 2026.

Presiding Officer of the Senate